3. ADRs are issued in

a. Canada b. China

c. India d. The USA

4. Depositary receipts that are traded in an international market other than the United States are called

a. Global Depositary Receipts

b. International Depositary Receipts.

c. Open Market Depositary Receipts

d. Special Drawing Rights.

5. _____ bond is a special type of bond issued in the currency other than the home currency.

a. Government Bonds

b. Foreign Currency Convertible Bond

c. Corporate Bonds

d. Investment Bonds

Answers

1. b 2. a 3. d 4. a 5. b

II. Very Short Answer Questions

1. Who are Foreign Institutional Investors?
2. What is a Depository Receipt?
3. What is a Global Depository Receipt (GDR)?
4. What is American Depository Receipt (ADR)?

III. Short Answer Questions

1. Explain the importance of international finance. (any 3)
2. What is meant by Foreign Currency Convertible Bonds?
3. Explain any three disadvantages of FDI.

IV. Long Answer Questions

1. Distinguish between GDR and ADR. (any 5)
2. State any five features of FCCB. (any 5)

Reference

1. International Finance by Neeraj, Neeraj Publications
2. International Trade Finance Taxmann publishers pvt ltd 2017
3. www.ibef.org

Commerce 16-25.indd 206 2/17/2021 4:50:11 PM